

NHPC Ltd (NHPC)

ROE	9.61%
ROCE	7.67%
CFO Quality	High Quality
Capital Allocation	Shareholder Returns

Strengths

- Strong free cash flow generation over 5 years signals healthy business fundamentals.
- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Very high interest coverage ratio reflects negligible financial stress from debt servicing.
- Sustainable dividend payout backed by positive free cash flow.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.
- Total debt exceeding 3 times operating cash flow limits financial flexibility.
- Revenue growing below 5% CAGR over 5 years suggests limited business momentum.